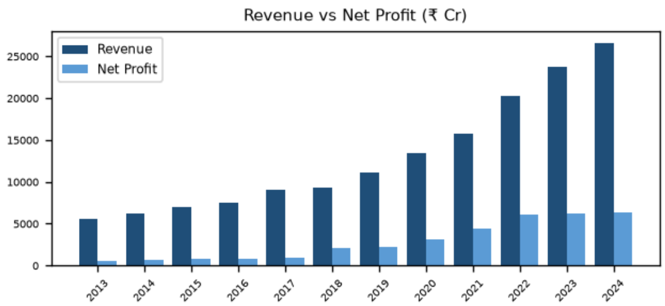
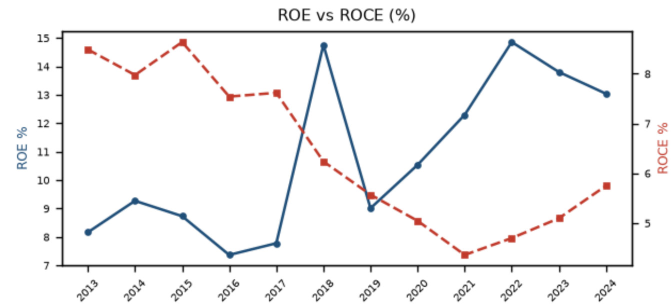
Indian Railway Finance Corporation Ltd (IRFC)

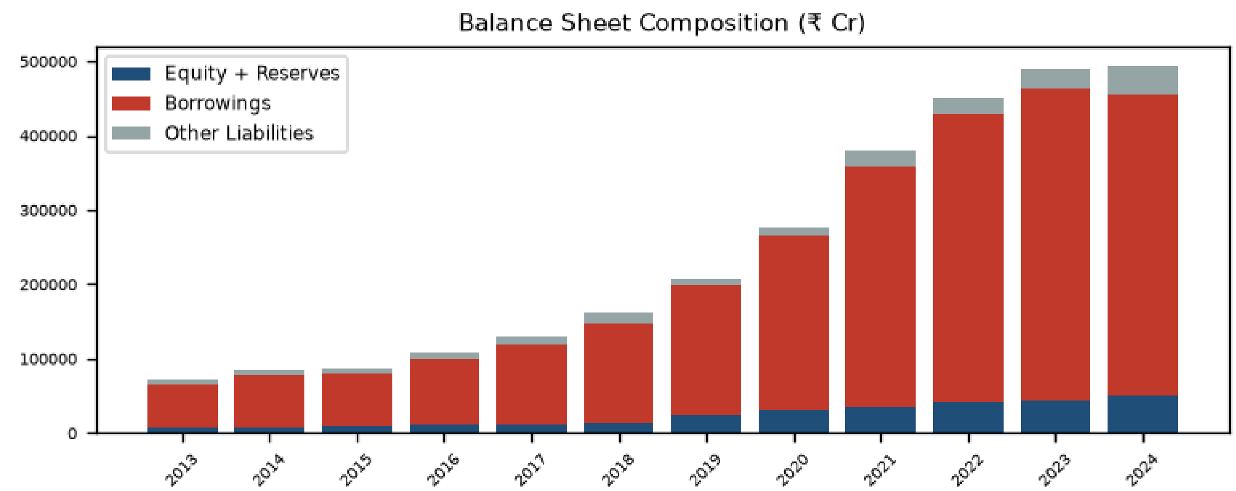
Financials — Speciality Finance

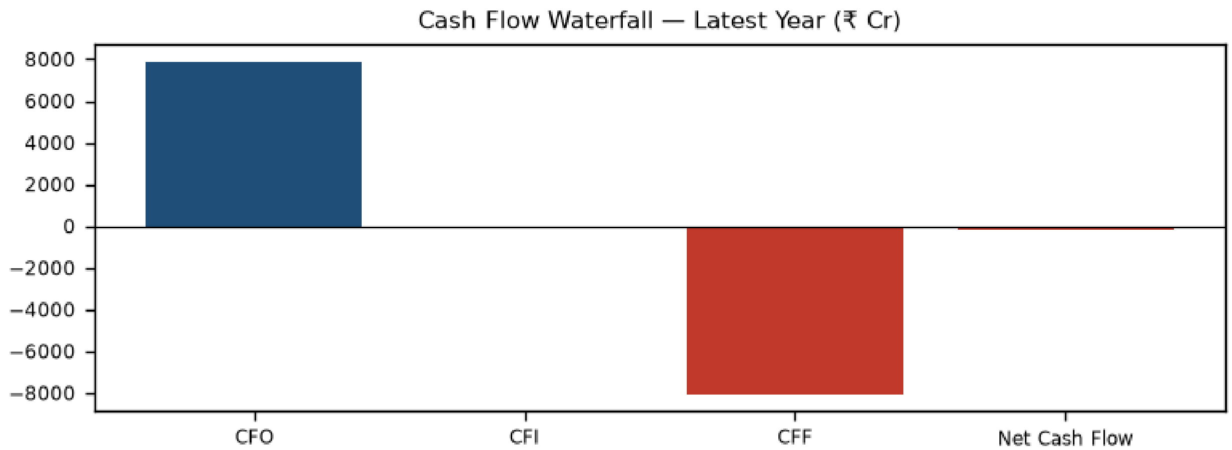
ROE	ROCE	Net Profit Margin
13.0%	5.8%	24.1%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
8.4x	19.1%	7906





Indian Railway Finance Corporation Ltd (IRFC) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Shareholder Returns

Pros

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (64% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (97% confidence)
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (62% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (64% confidence)
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (63% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (64% confidence)

Cons

✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (85% confidence)
✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (64% confidence)
✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)